

MANAGEMENT REVIEW

Management without theatre.

AI

ALGORITHMIC MANAGEMENT OF WORK

The EU's first rules on algorithmic management and their deadline, how many workers software already directs, instruct, monitor and evaluate, what managers worry about, four counts, and a card for one automated decision.



27%

of workers in the EU say the organisation they work for uses digital technologies to allocate tasks, working time or shifts to them automatically.

EU-OSHA, 2025

INSIDE

COVER STORY

Rules for the algorithmic boss

PAGE 03

THE NUMBERS

A quarter, not a niche

PAGE 04

TOOL OF THE ISSUE

The card for one automated decision

PAGE 08

NO. 61 · AI

In this issue

A roster drawn up by software, a task pushed to a phone, a score that ranks the team: parts of a manager's work are now done by algorithms. This issue asks how far that has gone, what the EU's first law on it requires, and what a manager still has to own. It describes the law; it is not legal advice.

Directive (EU) 2024/2831 sets the EU's first rules on algorithmic management, for digital labour platforms, and must be transposed by 2 December 2026. Yet only 5% of EU workers earned income through a platform in the year to spring 2025, while about one in four say software allocates their tasks or shifts, and nearly as many that it instructs, rates or monitors them. In an OECD survey of over 6,000 managers, 60% of users say the tools improve their decisions, and nearly two-thirds have at least one concern. A Swedish study links heavy algorithmic management in logistics with more distress and accidents.

Stiven Janaqi EDITOR · STIVEN CATALYST

03 COVER STORY
Rules for the algorithmic boss

04 THE NUMBERS
A quarter, not a niche

05 THE MODEL
Instruct, monitor, evaluate

06 WHAT THE RESEARCH SAYS
Better decisions, unclear accountability

07 HOW IT IS MEASURED
Four counts for one system

08 TOOL OF THE ISSUE
One automated decision card

09 SOURCES
Sources and method

HOW TO READ THIS ISSUE

Figure

Every figure has its source and year at the foot of its page.

Our reading

Where the editors interpret rather than the research, it says so.

Practice

The steps and the card are proposals to try, not research results.

COVER STORY

Rules for the algorithmic boss

Chapter III of Directive (EU) 2024/2831 on platform work, adopted in October 2024, holds the EU's first rules on algorithmic management; most also cover the self-employed. Member States must transpose it “by 2 December 2026”.

01**What it may not process**

Emotional state, private conversations, data from outside working time (Art. 7).

02**Who is told what**

Which systems monitor or decide, on what data, by the first working day (Art. 9).

03**A human oversees**

An evaluation at least every two years; a human suspends or closes an account (Art. 10).

04**A right to an answer**

An explanation, and a reply to a request for review within two weeks (Art. 11).

For other workplaces nothing is settled. In December 2025 the European Parliament asked for such rules in all of them; in July 2026 the Commission put algorithmic management into its consultation on a Quality Jobs Act.

OUR READING

The directive is written for platforms, but its four questions fit any team where software hands out shifts or scores.

Sources: European Parliament and Council of the European Union, Official Journal L, 11 November 2024, 2024; European Parliament, 2025 (via Deutsche Sozialversicherung Europavertretung (December 2025) and EU Perspectives (November 2025)); European Commission, Employment, Social Affairs and Inclusion, 2026

Articles 7, 9–11 and 29, shortened; national laws will word them their own way. The Parliament's request is not law. A description, not legal advice.

THE NUMBERS

A quarter, not a niche

In spring 2025, EU-OSHA's OSH Pulse asked 25,688 workers in the EU by telephone whether the organisation they work for uses digital technologies to manage parts of their work.

WORKERS IN THE EU, 2025

Software allocates tasks, working time or shifts



Others rate their performance through it



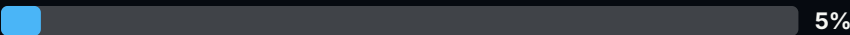
It gives automated instructions



It monitors their work and behaviour



Earned income through a platform



The JRC's AIM-WORK survey of 70,316 workers in late 2024 and early 2025 asked more narrowly about systems acting with little or no human input: 24% had their rosters or shift hours allocated automatically, 21% their tasks.

OUR READING

The directive reaches the 5%. The practices it regulates reach about a quarter of all workers.

Sources: EU-OSHA, 2025; Ignacio González Vázquez, Enrique Fernández-Macías, Sally Wright & Davide Villani, European Commission, Joint Research Centre, 2025

Self-reports, EU-27. OSH Pulse asks what workers know of their organisation; 2–3% did not know. Platform income, over the past 12 months, is a separate question. The two surveys ask differently, so their figures differ.

THE MODEL

Instruct, monitor, evaluate

The OECD defines algorithmic management as software, with or without AI, that fully or partly automates tasks done by human managers. Its employer survey sorts fifteen uses into three groups and asked over 6,000 mid-level managers in six countries which ones their firm provides.

01

Instruct

schedules, activities,
clients, task instructions

02

Monitor

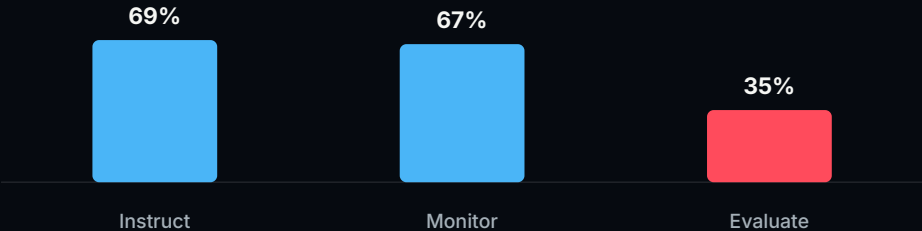
work time, speed,
location, tone of calls or
emails, fatigue

03

Evaluate

targets, rewards,
sanctions, leaderboards

FIRMS USING EACH GROUP, AVERAGE OF FRANCE, GERMANY, ITALY AND SPAIN



In the United States, adoption averages 90% across all three groups; in Japan, 40% of firms use any tool. Tools that sanction poor work are rarer everywhere than those that reward good work: 14% against 23%.

OUR READING

Sources: Anna Milanez, Annikka Lemmens & Carla Ruggiu, OECD Artificial Intelligence Papers No. 31, 2025 (via Abstract at RePEc (IDEAS); figures from the OECD policy brief of December 2025); OECD, policy brief, 2025

The further a tool reaches into personal data or into consequences, the rarer it is, and the more a manager's judgement counts.

Managers answering for their firms. The OECD calls its definition broad: in the four European countries 79% use at least one tool. Not every tool uses AI, so the AI Act (No. 41) covers only some.

WHAT THE RESEARCH SAYS

Better decisions, unclear accountability

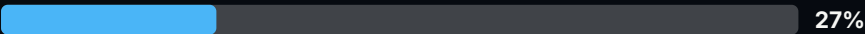
In the OECD survey, 60% of managers using the tools said their decisions had improved, through more information, speed and autonomy. Yet nearly two-thirds had at least one concern.

MANAGERS USING THE TOOLS WHO REPORT THE CONCERN, SIX COUNTRIES

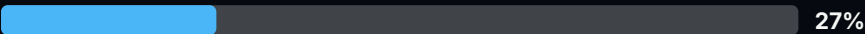
Unclear accountability for a wrong decision



Cannot follow the logic of a decision



Workers' health poorly protected



For workers the evidence is thin. In a 2024 survey of nearly 1,000 drivers and warehouse workers in Sweden, the most exposed reported psychological distress about twice as often as the least exposed (ratio 2.12), accidents 1.9 times as often. The JRC finds clearly worse conditions for the 2% of EU workers subject to every form at once.

OUR READING

The most common worry is not the software but the gap behind it: when a decision is wrong, nobody is sure who owns it.

Sources: OECD, policy brief, 2025; K. Hennum Nilsson, T. Bodin, P. Strauss et al., International Archives of Occupational and Environmental Health 98, 2025 (via Full text at PubMed Central (PMC12672710)); Ignacio González Vázquez, Enrique Fernández-Macías, Sally Wright & Davide Villani, European Commission, Joint Research Centre, 2025

Self-reports. The Swedish study is a one-time survey, recruited partly online: it shows a link, not a cause. Across all EU workers the JRC's links are mild and not causal either.

HOW IT IS MEASURED

Four counts for one system

The directive's yardsticks can serve any team as measures, platform or not. The survey question is a test too: ask the team what the system does, and compare their answers with what it really does.

1

Informed

Share of the team who can say what the system decides and on what data. A “don't know” is a finding.

2

Explained

Requests for an explanation or review answered within two weeks, the directive's limit for a review.

3

Decided by a person

Sanctions, suspensions or pay changes a human checked before they applied.

4

Evaluated

Date of the last review of the system's effect on the team, at least every two years.

HYPOTHETICAL EXAMPLE, A SHIFT-PLANNING SYSTEM IN A TEAM OF 30

Informed 12 of 30 could say what it decides

Explained 5 requests, 3 answered within two weeks

Evaluated never in three years

The system may work well; the team cannot know. The numbers are invented.

Sources: European Parliament and Council of the European Union, Official Journal L, 11 November 2024, 2024; EU-OSHA, 2025

The counts are the editors' reading of Articles 9–11 of the directive and of the OSH Pulse question. Its limits bind platforms; for other employers they are a benchmark.

TOOL OF THE ISSUE

One automated decision card

One card for each decision that software takes or prepares. Fill it in with the people it affects; where a line stays empty, the gap is the finding.

01 The decision what it decides or proposes: shifts, tasks, targets, a rating, a sanction

02 Data what it uses, and what it must not: feelings, private talk, time off work

03 Who can review it the role that can check and override it, and how fast

04 How the team learns of it when they were told, in what words, where it is written

05 Explanation and challenge who answers, and within how many days

06 Last evaluation date, who took part, what changed

Sources: European Parliament and Council of the European Union, Official Journal L, 11 November 2024, 2024; OECD, policy brief, 2025

A practice proposed by the editors, after Articles 7–11 of the directive and the concerns in the OECD survey. When a decision proves wrong, the 5 Whys sheet helps trace why and name one owner.

Open the tool: 5 Whys

stivencatalyst.com/tools/five-whys/

SOURCES AND METHOD

Every figure has a source.

The figures in this issue come from the sources below. The year shows how recent each one is.

Directive (EU) 2024/2831 on improving working conditions in platform work

European Parliament and Council of the European Union, Official Journal L, 11 November 2024, 2024

<https://eur-lex.europa.eu/eli/dir/2024/2831/oj/eng>

Recommendations to the Commission on digitalisation, artificial intelligence and algorithmic management in the workplace (2025/2080(INL))

European Parliament, 2025 · via Deutsche Sozialversicherung Europavertretung (December 2025) and EU Perspectives (November 2025)

https://www.europarl.europa.eu/doceo/document/TA-10-2025-0337_EN.html

Commission opens second-phase consultation on Quality Jobs Act

European Commission, Employment, Social Affairs and Inclusion, 2026

https://employment-social-affairs.ec.europa.eu/news/commission-opens-second-phase-consultation-quality-jobs-act-2026-07-20_en

OSH Pulse 2025: Occupational safety and health in the era of climate and digital change

EU-OSHA, 2025

<https://osha.europa.eu/en/publications/osh-pulse-2025-occupational-safety-and-health-era-climate-and-digital-change>

Digital Monitoring, Algorithmic Management and the Platformisation of Work in Europe

Ignacio González Vázquez, Enrique Fernández-Macías, Sally Wright & Davide Villani, European Commission, Joint Research Centre, 2025

<https://doi.org/10.2760/9406086>

Algorithmic management in the workplace: New evidence from an OECD employer survey

Anna Milanez, Annikka Lemmens & Carla Ruggiu, OECD Artificial Intelligence Papers No. 31, 2025 · via Abstract at RePEc (IDEAS); figures from the OECD policy brief of December 2025

<https://doi.org/10.1787/287c13c4-en>

EDITORIAL METHOD

Each figure was checked for its year, its publisher and what exactly it measures. Where the publisher's page could not be opened, the figure was checked against independent summaries and is marked “via”. The editors' interpretation is marked “Our reading”. Figures that could not be confirmed are not in the issue.



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Every issue, one management question, checked against the best research.

ALL ISSUES

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